

ECONOMY — Poverty, Balance of Payments & Trade

Batch 6 of 10 · Sources: Parmar Ch.9 (Poverty and BoP) + Lucent §3 (Characteristics of Indian Economy / Poverty) + §15 (Trade and Commerce) · PYQ bucket "11 Foreign Trade & International Institutions" (34 Qs) · ★ = tested in a real past SSC paper

Rangarajan Committee's PSL/Financial-Inclusion angle is cross-referenced in Batch 5; full Rangarajan poverty-line detail is below.

1 Poverty — Concept, Types & Estimation Lineage (Parmar Ch.9)

Poverty = lacking financial resources/essentials for a basic standard of living; diverse causes/effects (environmental, legal, social, economic, political). **Types: Absolute** (lacking food/water/shelter/clothing/healthcare/education), **Relative** (income far below society's average), **Subjective** (feeling poor regardless of income, driven by comparison/expectation/psychology). **Poverty Gap Index** measures the depth of poverty (how far below the line). **World Poverty Clock** — managed by World Data Lab, real-time global poverty estimates. Poverty estimation in India = **NITI Aayog's task force**, using NSSO data (under MoSPI); BPL = income/spending below a set minimum.

Committee/estimate	Basis	Poverty line
Dadabhai Naoroji (pre-Independence)	"Poverty and Un-British Rule in India" — earliest estimate; he was also the first to estimate India's National Income	₹16–35/capita/year
National Planning Committee (1938)	Set up by Subhas Chandra Bose, chaired by J.L. Nehru; based on a minimum standard of living incl. nutrition	₹15–20/capita/month
Bombay Plan (1944)	Proposals by influential Bombay business leaders for India's development	₹75/capita/year
V.M. Dandekar & N. Rath (1971)	First systematic assessment (NSSO-based), expenditure-based; 2250 cal/day in both rural and urban areas	—
Alagh Committee (1979)	Chaired by Y.K. Alagh; nutritional-requirement + consumption-expenditure basis	Rural 2400cal→₹49.09/mo; Urban 2100cal→₹56.64/mo
Lakdawala Committee (1993, printed "Lakadawala")	Household per-capita consumption expenditure; used CPI-IW & CPI-AL; recommended state-specific poverty lines, calorie basis retained	—

Tendulkar Committee (set up 2005, report 2009) ★	Poverty line based on Purchasing Power Parity; moved away from calorie model; broadened basket incl. private health/education spend; replaced URP with Mixed Reference Period (MRP: 30-day recall for food/frequent items, 365-day recall for infrequent non-food)	2011-12: Rural ₹816/mo, Urban ₹1,000/mo (₹33/day PPP-based); overall poverty 21.9% (Rural 25.7%, Urban 13.7%)
Rangarajan Committee (2012, report 2014)	3 poverty-basket components — food items, essential non-food, behaviourally-determined non-food; includes protein/fat besides calories; introduced Mixed Modified Reference Period (weekly/monthly/yearly)	Rural ₹972/mo, Urban ₹1,407/mo

Trends: 2004-05 — 407 million poor (37.2% BPL; Rural 41.8%, Urban 25.7%); 2011-12 — 270 million poor (21.9%). Poverty declined 0.74%/year (1993-94 to 2004-05) vs 2.4%/year (2004-05 to 2011-12). **State-wise (2011-12):** Highest poverty — Chhattisgarh (39.9%), Jharkhand (37%), Bihar (33.7%); Lowest — Goa (5.09%), Kerala (7.1%). **Types of Poor:** **Usually Poor** (normally BPL), **Churning Poor** (move in/out of poverty), **Occasionally Poor** (normally above the line).

HOOK MPI (Multidimensional Poverty Index) — introduced **2010** by UNDP + OPHI; 3 dimensions (Health — nutrition/child mortality; Education — years of schooling/school attendance; Living Standards — cooking fuel/sanitation/drinking water/electricity/housing/assets), 10 indicators. **National MPI** (NITI Aayog, Nov 2021) uses **12 indicators** (adds antenatal care + bank account) — India's multidimensional poverty declining since 2005-06; **24.82 crore people escaped multidimensional poverty** in 9 years; UP = most people lifted out; **Bihar = highest MPI (most poor), Kerala = lowest MPI.**

Head Count Ratio (HCR) = % of population living BPL (poverty headcount index) = No. of multidimensionally poor / Total population. **ILO's 6 Basic Needs:** Education, Food, Clothing, Shelter, Health Care, Safe Drinking Water. **HDI** — concept given by **Amartya Sen & Mahbub ul Haq**, introduced 1990; score 0-1; Dimensions→Indicators→Index: Long/healthy life→Life expectancy at birth→Life Expectancy Index; Knowledge→Expected/Mean years of schooling→Education Index; Decent standard of living→GNI per capita (PPP\$)→GNI Index.

2 Poverty in India — Lucent §3 (Full History & Latest World Bank Data)

Indian Economy's characteristics (Lucent §3): (1) **Agrarian Economy** — 54.6% of population in agriculture/allied activities (Census 2011), contributing 17.8% of GVA in 2019-20 (INDIA 2023). (2) **Mixed Economy** — blend of public/private, moving toward a capitalist/market economy post-liberalisation. (3) **Developing Economy** — high structural unemployment (a person is "employed" if working 273 days/year, 8 hrs/day); low savings due to low income + high consumption; 2nd most populous nation (2001-2011 growth 17.69%, ~1.85 crore added/year; 2011 population 121.07 crore = 17.5% of world population on just 2.42% of world land); lacks large-scale modern industrialisation.

Primary sector = agriculture, forestry, fishing, mining/quarrying; Secondary = industry, manufacturing, electricity/gas/water/utilities, construction; Tertiary = business, transport, communication, all services. **Best indicator of economic development = per capita income.** Key development factors: natural resources, capital gain, skilled labour, agri surplus sale, justified social organisation, political freedom, freedom from corruption, technological knowledge/education. **WPI** covers 3 major groups: primary articles, fuel & power, manufactured products.

Measuring Poverty in India (history): First official rural/urban poverty lines introduced **1979 by the Y.K. Alagh Committee**. 1993 — **D.T. Lakdawala Committee** extended lines to states. 2005 — govt

appointed the **Tendulkar Committee** (rural line seen as too low); reported 2009, revised the rural line upward. 2012 — **Rangarajan Committee** appointed after media criticism; reported June 2014, recommended raising both rural/urban lines further — decision still pending, so the **Tendulkar line remains the official poverty line** (basis for 1993-94/2004-05/2011-12 estimates). (Source: NITI Aayog) **Six official poverty committees since Independence:** Planning Commission Working Group (1962), V.M. Dandekar & N. Rath (1971), the 1979 Task Force/"Separate Committee" (Alagh), Lakdawala Committee (1993), Tendulkar Committee (2009), Rangarajan Committee (2014).

BPL statistics (2011-12): Rangarajan Committee — 30.95% rural, 26.4% urban BPL, vs Tendulkar methodology's 25.7% rural / 13.7% urban (Source: The Indian Express, 4 July 2015 & Economic Survey 2015-16). Separately, ~22% of Indians live BPL — 25.7% rural, 13.7% urban (per RBI, Source: Financial Express, 21 Sept 2019).

HOOK **World Bank's Spring 2025 Poverty and Equity Brief** — India's extreme poverty (int'l benchmark \$2.15/day) fell sharply from **16.2% (2011-12) to 2.3% (2022-23)**, lifting **171 million people** out of extreme poverty. Rural extreme poverty: 18.4%→2.8%; Urban: 10.7%→1.1%. At the **\$3.65/day (lower-middle-income) line**: 61.8%→28.1% (378 million lifted); Rural 69%→32.5%, Urban 43.5%→17.2%; rural-urban gap narrowed 25→15 points (7% annual decline). **Non-monetary/MPI poverty**: 53.8% (2005-06)→16.4% (2019-21)→15.5% (World Bank's measure, 2022-23). With 2021 PPPs and revised international lines, 2022-23 rates are projected at 5.3% (extreme) and 23.9% (lower-middle-income). India's consumption-based **Gini index improved from 28.8 (2011-12) to 25.5 (2022-23)**.

PEBs (Poverty and Equity Briefs) — World Bank publication, twice yearly (Spring + Annual Meetings), covering 100+ developing countries; uses national poverty lines plus international benchmarks \$2.15 (extreme), \$3.65 (lower-middle-income), \$6.85 (upper-middle-income).

Employment trends (World Bank, since 2021-22): employment growth has outpaced working-age population growth, especially for women; Urban unemployment fell to 6.6% in Q1 FY24/25 (lowest since 2017-18); first male rural-to-urban worker shift since 2018-19; rural female agri-employment growth; rising self-employment, especially rural women. (Source: PIB, MoIB, 26 April 2025)

3 Balance of Payments (BoP) — Structure (Parmar Ch.9)

Current Account	Capital Account
Visible items (physical goods exports/imports — tangible), Invisible items (services e.g. shipping/banking — intangible), Transfer Payments (unilateral — remittances, foreign aid). India is the top global remittance receiver , Mexico 2nd	Foreign Investments (FDI, FPI etc.), External Assistance/Deposits/Borrowings, Other Flows; monitors purchase/sale of non-financial assets like land/property

HOOK Current Account: receipts > payments = **surplus** ★ (net lender to the world); payments > receipts = **deficit** (NOT "balance" — a tested trap, "balance" only when receipts = payments exactly ★). **FDI** = long-term, ≥10% equity in a foreign physical asset (e.g. Walmart-Flipkart). **FPI/FII** = short-term financial-asset investment, <10% equity (stocks, bonds, mutual funds, NRI deposits) ★. FDI limit in the defence sector, enhanced 2020: up to 74% via Automatic route, up to 100% via Government route.

HOOK Circular-flow view of trade ★: **Imports = leakage** (money flows abroad, ↓ aggregate demand) ★; **Exports = injection** (foreign money flows in, ↑ aggregate demand) ★ — a directly tested statement pair, both correct.

Current Account Deficit = imports > exports; includes trade balance, net foreign income, foreign aid, net current transfers. **Twin Deficit** = simultaneous current account deficit + fiscal deficit.

4 The 1991 BoP Crisis

TRAP 1991 crisis = shortage of **foreign exchange** ★ (not water/electricity/labour). By **June 1991**, reserves fell to ~\$1-1.1 billion ★ — enough for only ~2 weeks of imports ★ (petroleum/essentials). Causes: fiscal deficit, foreign-debt repayment failure, Gulf War oil-price spike, inflation ★ — NOT natural disaster or migration (tested distractors).

BoP/currency crisis occurs when a nation can't pay for essential imports or repay foreign debt. India faced this in **1991** under PM P.V. Narasimha Rao, FM Manmohan Singh; the government responded with broad reforms under the **LPG model** (Liberalisation, Privatisation, Globalisation).

India approached the **IMF and World Bank** ★ for a **\$7 billion** loan ★ (via IBRD) — conditions: structural reforms under **SAP** (Structural Adjustment Programme) — privatisation, trade liberalisation, fiscal discipline, FDI opening ★.

HOOK Rupee **devalued in two stages, July 1991** ★, cumulative ~**18-20%** against USD ★ — objective: cheaper/competitive exports, discourage imports, boost forex inflow ★. **Devaluation → improved export competitiveness** ★ (weaker rupee = cheaper Indian goods abroad — a tested Assertion-Reason, both true, R explains A).

Rupee made **fully convertible on Current Account, 1994** ★ (RBI, under IMF Article VIII) — **Current Account Convertibility** = freedom to convert rupee for trade transactions (imports/exports/remittances/travel). **Capital Account Convertibility** = freedom to convert for capital transactions (foreign investment, loans, overseas asset purchase) — in India, only **partially convertible**, regulated by RBI.

Tarapore Committee — constituted **1997** by RBI (reviewed again 2006) under **S.S. Tarapore**; examined Capital Account Convertibility (CAC) feasibility; recommended a phased roadmap subject to preconditions — low fiscal deficit, controlled inflation, strong banking sector (low NPAs), stable financial system.

5 FOREX Reserves, IMF/World Bank & Related Institutions

Forex reserves = assets held by a nation's central bank/monetary authority for import cover and shock protection. 4 components: **Foreign Currency Assets (FCA)**, **Gold reserves**, **Special Drawing Rights (SDRs)** (a.k.a. "Paper Gold"), **Reserve Tranche Position in the IMF** (higher IMF quota = higher voting power). SDR basket currencies: US Dollar, Euro, Yen, Yuan, Pound.

HOOK **Bretton Woods Conference, 1944** (officially the United Nations Monetary and Financial Conference) — 44 nations, 730 delegates → created **IMF + World Bank** (Twin Organisations), HQ Washington D.C.; also created the **IBRD** (now part of World Bank). Bretton Woods system collapsed 1971 (US suspended gold convertibility). India ranks **8th in IMF voting power**. Top IMF borrowers: Argentina, Egypt, Ukraine, Pakistan, Ecuador.

The **Washington Consensus** — 10 free-market policy prescriptions (John Williamson, 1989) for crisis-prone developing nations (esp. Latin America), promoted by IMF/World Bank/US Treasury: privatisation, deregulation, trade liberalisation, fiscal discipline. **IMF major reports**: World Economic Outlook, Global Financial Stability Report, Fiscal Monitor, External Sector Report.

Body	Role
WTO ★	Promotes free & fair trade ★ — does NOT allow arbitrary restrictions (only limited, rule-based protective measures) ★ — a tested Assertion-true/Reason-false pair
IMF ★	Loans with Structural Adjustment Programme (SAP) conditions ★ — liberal reforms, privatisation, fiscal discipline (used in India's 1991 reforms)
IBRD	Main World Bank Group institution — "International Bank for Reconstruction and Development" ★, approached by India in 1991

NOSTRO ("our") account — domestic bank's foreign-currency account in a foreign bank ("our account/money in your bank"), for int'l trade/transactions. **VOSTRO** ("your") account — foreign bank's domestic-currency account in a domestic bank ("your account/money in our bank"), lets foreign banks transact domestically.

6 Exchange Rate Mechanisms, Terms & Regime Evolution

Act	Feature
FERA, 1973	Simplify forex system; violation was a criminal offence ; abolished — rigid rules were hindering growth
FEMA, 1999	Replaced FERA; enhances forex reserves, promotes trade/payments; violation is a civil offence (decriminalised, user-friendly)

Term	Meaning
Depreciation	Market-driven fall in domestic currency value (exporters benefit)
Appreciation	Market-driven rise in domestic currency value (rising demand for the currency)
Devaluation	Govt-induced fall under a fixed exchange rate system — more beneficial if export prices rise proportionately (e.g. 1991)
Revaluation	Govt-induced rise under a fixed exchange rate system

Depreciation/Appreciation occur under a **Floating Exchange Rate** system (market-determined by supply/demand); a fixed currency rate is often called a **pegged** rate.

Lorenz Curve — graphs income/wealth distribution within a population, measuring inequality; **Gini Coefficient** 0 (perfect equality) to 1 (perfect inequality).

Exchange rate regime evolution in India: 1928-1948 — Rupee pegged to British Pound Sterling; Post-1948 (IMF system) — pegged to US Dollar (Fixed Exchange Rate); 1975 — delinked from Pound Sterling; 1992 — LERMS (Liberalised Exchange Rate Management System, dual rate: part govt-controlled, part market); 1993 — fully Market-Determined/Floating Exchange Rate System.

NEER (Nominal Effective Exchange Rate) — weighted average of domestic currency vs. a trade-weighted basket, no inflation adjustment. **REER (Real Effective Exchange Rate)** — NEER adjusted for inflation, shows real external competitiveness.

Types of Currency: **Hard** (stable, widely accepted — USD, Euro), **Soft** (weak, not widely accepted), **Hot** (moves quickly for short-term profit on rate changes), **Heated** (under heavy demand/speculation), **Cheap** (depreciated/low value), **Dear** (appreciated/high value).

7 Tax Evasion, Money Laundering & Anti-Avoidance (Parmar Ch.9)

BEPS (Base Erosion and Profit Shifting): **Base Erosion** = shell companies across jurisdictions break the audit trail, reducing taxable profit in a high-tax jurisdiction; **Profit Shifting** = moving those "eroded" profits to a low/no-tax jurisdiction (e.g. Cayman Islands, Bahamas) with little real economic activity.

Round Tripping = domestic black money sent abroad then brought back as FDI via shell companies/tax havens to appear legitimate.

FATF (Financial Action Task Force) — HQ Paris, founded July 1989 (G7); sets global anti-money-laundering/terror-financing standards. **Three Stages of Money Laundering:** (1) **Placement** — illegal funds enter the financial system; (2) **Layering** — concealing origin, separating from source; (3)

Integration — funds fully absorbed into the economy.

Shell Company — a paper-only corporate entity with little/no real business, used to hold assets, route funds, or hide real ownership. **Minimum Alternate Tax (MAT)** — Section 115JB, Income Tax Act 1961; ensures companies with high exemptions still pay minimum tax when normal tax liability is below 15% of "book profit" (per financial statements, calculated per Companies Act 2013); applies to all domestic/foreign companies; prevents "zero-tax" profitable companies.

8 Trade Policy — Pre & Post 1991

TRAP 1947-1990 trade policy ★ = Import Substitution (inward-looking, protect domestic industry via high tariffs/quotas — avg import duty >125% ★, govt license mandatory for most imports) — NOT free trade or export-oriented (repeatedly tested distractors across multiple phrasings of the same fact).

Tariff Measures ★	Non-Tariff Measures ★
Import taxes, export taxes ★ (both — a tested "which is tariff" question)	Anti-dumping measures, Technical Barriers to Trade (TBT), labeling/quality standards ★ (both correct in a tested question)

Bilateral trade agreement ★ — primary goal: **promote free trade between two countries ★** (reduce/eliminate customs duties, quotas). **FTA (e.g. BIMSTEC) ★** — reduce trade barriers, boost economic cooperation (not common currency or cultural exchange).

SAARC Currency Swap Framework (2024-27) ★ — RBI provides short-term liquidity to SAARC nations during forex crises. **BIMSTEC Technology Transfer Facility** — MoA signed **5th BIMSTEC Summit, Colombo, 30 March 2022 ★**; BIMSTEC established **6 June 1997** (Bangkok Declaration), 7 members

(Bangladesh, India, Sri Lanka, Myanmar, Thailand, Nepal, Bhutan). **SAFTA Article 23 ★** = Dispute Settlement provision (NOT unilateral tariff reservations — a tested Assertion-true/Reason-false).

Fact	Detail
First EPZ (India & Asia) ★	Kandla, Gujarat, 1965 ★ — foreign exchange, export promotion, industrial infra
FIPB ★	Constituted under PMO ★, initially chaired by Principal Secretary to PM ★ ; single-window FDI clearance; moved to DIPP then DEA; abolished 2017 ★
Merchandise Exports from India Scheme (MEIS)	Launched 1 April 2015 ★ , FTP 2015-20; replaced by RoDTEP from 1 Jan 2021
EOU minimum investment	₹1 crore in plant & machinery ★
Kaladan Multimodal Transit Transport Project ★	Links India (Kolkata port) to Myanmar ★ (Sittwe port) → Mizoram by road; bypasses the "Chicken's Neck"

9 Lucent \$15 — Trade and Commerce: History & Foreign Trade Evolution

Indian trade was highly developed in ancient times. After the British East India Company (1600), trade favoured India till 1757 (Company bought cloth/spices for costly metals). The British then imposed heavy duty on cloth to destroy India's industry; post-Industrial-Revolution Britain flooded world markets with cheap goods, driving colonisation. British monopoly on cotton sale made Indian weavers' raw material costlier — by 1813 the Indian handloom business was ruined. Late 19th century: power-machine-based modern (textile) industries emerged in India.

Pre-independence foreign trade ran on colonial principles; post-independence, India adopted **inward-looking policies based on import replacement**. India's world-trade share: 1.78% (1950) → 0.6% (1995, persisting through 1997-98 per Economic Survey 2001-02). By FY2019-20, India was the 18th-largest exporter (1.7% share, INDIA 2021) and 10th-largest importer (2.6% share, INDIA 2020) of merchandise.

Balance of Payments & Trade Performance (FY 2023-24, per BHARAT 2025)

Current account deficit: 0.7% of GDP (2023-24) vs 2% (2022-23) — merchandise trade deficit fell from USD 265.3 bn to USD 242.1 bn. Net FDI inflows declined from USD 42 bn (2022-23) to USD 26.6 bn (2023-24). India's global trade (goods+services) reached **USD 1,631.97 billion** in 2023-24; total exports USD 778.22 bn; total imports USD 853.75 bn.

Merchandise Exports — India ranked 17th globally (1.8% share, WTO 2023); 2023-24 exports slipped to USD 437.11 bn (from USD 451.07 bn) on geopolitical tensions. Top export categories: petroleum products (19.25%), drug formulations/biologicals (4.97%), pearls/precious/semi-precious stones (4.33%), telecom instruments (3.95%), gold/precious-metal jewellery (3.05%). Top destinations: USA (17.74%), UAE (8.15%), Netherlands (5.12%), China (3.81%), Singapore (3.3%).

Merchandise Imports — India ranked 8th globally (2.8% share, WTO 2023); 2023-24 imports fell 5.66% to USD 675.43 bn (from USD 715.97 bn). Top import categories: crude petroleum (20.71%), gold (6.74%), petroleum products (5.89%), coal/coke/briquettes (5.76%), electronics components (5.09%). Top sources: China (15.06%), Russia (9.10%), UAE (7.11%), USA (6.04%), Saudi Arabia (4.71%).

Services Trade — India ranked 7th exporter (4.4% share) and 9th importer (3.4% share) of commercial services (WTO 2023); steady services surplus. Services exports 2023-24: USD 341.11 bn (+4.85% from USD 325.33 bn); imports: USD 178.32 bn (down from USD 182.05 bn). **Trade Balance** — combined goods+services trade deficit: USD 75.53 bn (2023-24) vs USD 121.62 bn (2022-23).

Trade Agreements — India has signed 14 FTAs and 6 Preferential Trade Agreements; latest: **India-EFTA TEPA** (Trade and Economic Partnership Agreement), signed March 2024.

Global Perspective (IMF WEO, Oct 2023) — global growth: 3.5% (2022)→3.0% (2023, est.)→2.9% (2024, est.), below the 2000-19 historical average of 3.8%. Advanced economies: 2.6%→1.5%→1.4%. Emerging/developing economies: 4.1%→4.0%→4.0%. Global inflation: 8.7% (2022)→6.9% (2023)→5.8% (2024).

Foreign Trade Policy 2023 & SEZs

FTP 2023 — launched April 2023; blueprint for integrating India with global markets; shifts from incentive-based regime to an enabling ecosystem ("Aatmanirbhar Bharat", "Local goes Global"); highlights: incentive→tax-remission shift, tech-driven trade facilitation, e-commerce exports, districts as export hubs; targets USD 2 trillion in goods+services exports by 2030.

SEZs — Asia's first EPZ set up at **Kandla, 1965**; 7 more EPZs followed; SEZ Act 2005 (with SEZ Rules) effective **10 February 2006**. All 8 pre-existing EPZs (Kandla & Surat-Gujarat, Santa Cruz-Maharashtra, Cochin-Kerala, Chennai-Tamil Nadu, Visakhapatnam-Andhra Pradesh, Falta-West Bengal, Noida-UP) converted to SEZs; SEZs under the 2005 Act are primarily private-investment driven. 275 operational SEZs as of June 2023 (166 IT/ITES + 109 multisector).

DOUBT The Red Sea Crisis (Jan-Feb 2024): Suez Canal transits fell 42-49% from peak (Jan 2024, UNCTAD); container tonnage via Suez fell 82%, Cape of Good Hope tonnage rose 60% (by early Feb 2024); 80% of India-Europe merchandise trade routes through the Red Sea (crude oil, auto/ancillaries, textiles, iron/steel affected); risk of higher freight/insurance/transit costs and inflationary pressure via oil-price rises for major Asian net-oil-importers (China, Japan, India, South Korea) — all time-sensitive 2024 crisis data, not current status; verify.

FDI Policy, Limits & Flows

FDI enters via **Automatic route** (no prior approval) or **Government route** (prior approval mandatory).

Space-sector FDI amendment (21 Feb 2024) — 100% FDI now allowed: up to 74% Automatic for satellite manufacturing/operation, satellite data products, ground/user segment (above 74% Government route); up to 49% Automatic for launch vehicles/spaceports (above 49% Government route); up to 100% Automatic for satellite/ground/user-segment component manufacturing.

Net FDI (inflows – outflows) fell 55.2% to \$9.69 bn (Apr-Dec 2023) from \$21.63 bn (Apr-Dec 2022), mainly due to rising equity-capital repatriation. Per RBI (Feb 2024 bulletin): FDI inflows \$19.23 bn, outflows \$9.54 bn (Apr-Dec 2023) vs inflows \$32.68 bn / outflows \$11.05 bn (Apr-Dec 2022). Globally announced greenfield FDI projects: 156 (2022) → 174 (2023).

Sectorwise FDI Limits (as printed "As on 14.11.2020"; source line dated PIB/MoCI 11.02.2025)

Sector	Limit	Route
Agriculture & Animal Husbandry	100%	Automatic
Plantation (tea, coffee, rubber, cardamom, palm/olive oil)	100%	Automatic
Mining/exploration of metal & non-metal ores (incl. diamond/gold/silver, excl. titanium ores)	100%	Automatic
Mining (Coal & Lignite)	100%	Automatic
Titanium-bearing minerals/ores mining & value addition	100%	Government
Petroleum & Natural Gas (exploration, marketing infra)	100%	Automatic
Petroleum refining by PSUs (no disinvestment/dilution)	49%	Automatic
Defence Manufacturing*	100%	Automatic up to 74%; above — Government (modern-tech-access cases)
Broadcasting	100%	Automatic
Broadcasting Content Services	49%	Government
Up-linking non-News TV / Down-linking TV Channels	100%	Automatic
Print Media	26%	Government
Publishing scientific/technical magazines	100%	Government
Publication of foreign-newspaper facsimile editions	100%	Government
Civil Aviation — Airports (Greenfield & Existing)	100%	Automatic
Civil Aviation — Scheduled Air Transport (foreign airlines barred from Air India)	100%	Automatic up to 49%; above — Government; 100% Automatic for NRIs
Construction Development	100%	Automatic
Industrial Parks	100%	Automatic

Satellites (est. & operation, per Dept. of Space/ISRO)	100%	Government
Private Security Agencies	74%	Automatic up to 49%; 49-74% Government
Telecom Services*	100%	Automatic up to 100%
Cash & Carry Wholesale Trading	100%	Automatic
E-commerce activities	100%	Automatic
Single Brand Retail Trading	100%	Automatic up to 49%; above — Government
Multi Brand Retail Trading	51%	Government
Duty Free Shops	100%	Automatic
Railway Infrastructure	100%	Automatic
Asset Reconstruction Companies	100%	Automatic
Banking (Private Sector)	74%	Automatic up to 49%; 49-74% Government
Banking (Public Sector)	20%	Government
Credit Information Companies	100%	Automatic
Infrastructure Co. in Securities Market	49%	Automatic
Insurance*	100%	Automatic
Pension Sector	49%	Automatic
Power Exchanges	49%	Automatic
White Label ATM Operations	100%	Automatic
Financial services (RBI/SEBI/IRDA-regulated)	100%	Automatic
Pharmaceuticals (Greenfield)	100%	Automatic
Pharmaceuticals (Brownfield)	100%	Automatic up to 74%; above — Government
Food products (manufactured/produced in India)	100%	Government

DOUBT This FDI-limits table is dated "As on 14.11.2020" in its own heading but cites a source line "PIB, MoCI, 11.02.2025" — internally inconsistent date, transcribed verbatim; caps (e.g. Insurance 100% automatic, reflecting a later Budget announcement) may not match the 2020 heading date. Verify current FDI caps before relying on any figure here.

Composition of Foreign Trade, External Sector & Trade Performance (FY25 data)

Imports classified as Bulk (POL + non-POL — consumption goods, fertilizers, iron/steel) and Non-bulk (capital goods incl. electrical/non-electrical machinery, pearls/precious stones, other items). Structural import shifts since 1951: rising capital-goods/raw-material imports (industrialisation), rising raw-material imports (import liberalisation for export promotion), declining food-grain/consumer-goods imports (self-sufficiency). Exports classified into 4 categories: (1) Agriculture & allied (coffee, tea, oil cakes, tobacco, cashew, spices, raw cotton, rice, fish, meat, vegetable oils, fruits/vegetables/pulses); (2) Ores & minerals (manganese ore, mica, iron ore); (3) Manufactured goods (textiles/garments, jute, leather/footwear, handicrafts, chemicals, engineering goods, iron/steel); (4) Mineral fuels & lubricants. Over the years, agri's export share has declined while manufactured goods' share has risen.

External Sector (ES 2024-25) — total exports (Apr-Dec FY25) reached USD 602.6 bn (+6%; +10.4% excl. petroleum/gems-jewellery); total imports USD 682.2 bn (+6.9%). Forex reserves USD 640.3 bn (end-Dec 2024), covering ~90% of external debt (USD 711.8 bn, Sept 2024).

Global trade (UNCTAD, Dec 2024) — merchandise export/import indices grew 3.5%/3% YoY (Q3 2024); services exports/imports grew 7.9%/6.7% YoY. Global trade projected to hit ~USD 33 trillion in 2024 (services +7% YoY, goods +~2%), expanding by ~USD 1 trillion (3.3%) overall.

India's trade trend (Apr-Dec FY25) — exports USD 602.6 bn (+6% YoY); imports USD 682.2 bn (+6.9% YoY); overall trade deficit rose from USD 69.7 bn to USD 79.5 bn YoY. Non-petroleum exports +7.1%; non-petroleum-non-gems-jewellery exports +9.1%. Sectoral export growth: drugs/pharma +6.4%, electronic goods +28.6%, engineering goods +9.9%, chemicals +5%, textiles +7.6%. Merchandise exports grew a modest 1.6% YoY (petroleum-product value decline offsetting gains). Merchandise imports +5.2% (non-oil-non-gold imports: USD 352.1 bn vs USD 340.5 bn); merchandise trade deficit widened to USD 210.8 bn (from USD 189.7 bn).

Textile Exports — India = 6th-largest global textile/apparel exporter; sector contributes 2.3% of GDP, 13% of industrial production, 12% of exports; employs 45+ million directly. 2023 textile exports: USD 34

bn (apparel 42%/USD 14.6 bn, raw/semi-finished 34%/USD 11.7 bn, finished non-apparel 30%/USD 7.8 bn); Europe+US took ~66% of apparel exports, 58% of finished non-apparel, 12% of raw materials. Globally, MMF (man-made fibre) = 77% of fibre consumption (2024) vs cotton's 22%; India's MMF production share = 9.2% globally, with room to catch up to Vietnam/China/Taiwan.

Export diversification (1994-2022) — India is now a top exporter of shipping vessels (~33% market share) and a leading exporter of iron/steel alloys (an unexplored market pre-1994).

E-commerce exports — global B2C e-commerce: USD 5.7 trillion (2022)→USD 8.1 trillion (2026E), 9.1% CAGR; India's B2C market: USD 83 bn (2022)→USD 150 bn (2026E), 15.9% CAGR (still only ~1.5-2% of the global market); e-commerce exports ~USD 4-5 bn (FY23), projected USD 200-300 bn by 2030.

Ease-of-doing-business for exporters — logistics-hub development under the National Logistics Policy; paperless e-BRC system saves >₹125 crore/year on 2.5 million e-BRCs; DGFT's 'Trade Connect e-Platform' — single-window market-access tool, especially for MSMEs.

BoP, FDI & Forex (Economic Survey 2024-25 figures)

India's BoP stayed stable (resilient services exports, benign crude prices, FPI/FDI revival). CAD moderated to 1.2% of GDP (Q2 FY25) vs 1.3% (Q2 FY24); merchandise trade deficit rose to USD 75.3 bn (Q2 FY25) from USD 64.5 bn (Q2 FY24).

FDI — gross inflows rose from USD 47.2 bn (first 8 months FY24) to USD 55.6 bn (FY25, +17.9% YoY). Cumulative FDI (Apr 2000–Sept 2024) crossed **USD 1 trillion** (USD 1,033.4 bn per DPIIT). Sector-wise (H1 FY25 equity inflows): Services 19.1%, computer software/hardware 14.1%, trading 9.1%, non-conventional energy 7%, cement/gypsum 6.1%. Net FDI (first 8 months, RBI): FY25 = USD 0.48 bn vs FY24 = USD 8.5 bn; full-year FY24 net FDI = USD 10.1 bn; FY23 = USD 19.8 bn.

DOUBT The source's own "Net FDI is calculated as follows" box is internally garbled ("Total Investment flows: (1)-(2)+(3)") — transcribed verbatim, not corrected.

Forex reserves — comprise FCA, gold, SDRs, RTP in IMF. After crossing USD 700 bn, reserves moderated to **USD 640.3 bn** (end-Dec 2024), covering ~90% of external debt (USD 711.8 bn, Sept 2024). India ranks **4th** globally in forex reserves (after China, Japan, Switzerland), with a 2024 increase of USD 27.1 bn. Reserves stood at \$688 bn as of April 2025.

Exchange Rate, Inflation & Outlook (Economic Survey 2024-25)

INR is market-determined (no target/band); factors: Dollar Index, capital flows, interest rates, crude prices, CAD. In the first 9 months of FY25 (to 6 Jan 2025), INR depreciated a modest 2.9% — better than CAD (5.4%), KRW (8.2%), BRL (17.4%). The Euro is the official currency of 20/27 EU states (the "Eurozone").

Global inflation (IMF WEO, Jan 2025) — peaked 8.7% (2022) → 5.7% (2024). India's retail inflation moderated 5.4% (FY24) → 4.9% (FY25, Apr-Dec); food = ~2/5 of India's CPI basket, so CFPI drives much of headline inflation. Core inflation fell 0.9 points (FY24→FY25); WPI was in deflation (-0.7%, FY24), staying low in FY25. RBI's MPC (Dec 2024) revised its FY25 inflation projection from 4.5% to 4.8%; expects 4.2% in FY26 (normal monsoon assumed). IMF projects 4.4% (FY25) / 4.1% (FY26) inflation for India. World Bank (Oct 2024) expects commodity prices to fall 5.1% (2025) / 1.7% (2026).

Medium-term outlook — IMF WEO (Oct 2024 update) projects India to become a USD 5 trillion economy by FY28, reaching USD 6.307 trillion by FY30; MoSPI's first advance estimate puts FY25 growth at 6.4% (constant prices).

Geo-Economic Fragmentation — since the 1980s: global trade rose from 39% of world GDP (1980) to 60% (2012); global FDI inflows grew from USD 54 bn (1980) to >USD 1.5 trillion (2019); world economy grew from USD 11 trillion (1980) to >USD 100 trillion (2022, nominal); extreme poverty (\$2.15/day) fell from 42% (1981) to 8.4% (2019), driven by China/India growth; global population grew 4.4 bn (1980)→8 bn (2022), urbanisation 39%→57%; internet penetration rose from ~0 (1980) to 5.3 bn people/66% (2022).

Export Credit & Rupee/Gold Data

NIRVIK Scheme — introduced by ECGC (Export Credit Guarantee Corporation of India); full name: **Export Credit Insurance Scheme (ECIS)**; covers up to 90% of principal+interest, both pre- and post-shipment credit; aims to enhance credit accessibility/affordability for exporters.

Rupee exchange rate (29 May 2025): 1 USD = ₹85.44; 1 GBP = ₹115.07; 1 Euro = ₹96.27.

RBI's Gold Reserve — added ~58 tonnes of gold in FY25 (data released 5 May 2025); total holding = **879.59 tonnes** (26 tonnes added in H2 FY25); gold ≈ 12% of total forex reserves (up from 9.32% in Sept 2024 to 11.70% by end-March, in dollar-value terms). Of the H2 addition, 348.62 tonnes held with the Bank of England/BIS, 18.98 tonnes as gold deposits; 58.20% of gold held in local vaults (March-end) vs 59.72% (Sept 2024) — domestic storage share rose from 38% to 59% since March 2023 (per RBI report). India's forex reserves stood at \$688 bn (April 2025). (Source: Business Standard, 5 May 2025)

Trade Organisations — Full History

IMF — established 27 December 1945 (per the Bretton Woods decision); began functioning 1 March 1947; 188 member countries (2017); promotes financial/economic cooperation and extends world trade. **IBRD** — established 1945; with the International Finance Corporation, International Development Agency, and Multilateral Investment Guarantee Agency, together called the "World Bank"; helps capital investment and long-term balanced development. **GATT** — came into being 30 October 1947, functioning from 1 January 1948; principle: equal-tariffs policy, removing quantitative bans, democratic dispute resolution. **WTO** — took GATT's place 1 January 1995; HQ Geneva; 164 members (April 2018); India a founder member.

India-ASEAN Trade in Goods Agreement — signed 13 August 2009, effective 1 January 2010; created one of the world's largest Free Trade Areas — ~1.8 billion people, combined GDP ~USD 2.75 trillion.

India's Global Rankings (Multiple 2024-25 Indices)

- **International IP Index 2024** (22 Feb 2024) — India 42nd/55 (score 38.64%); US 1st (95.48%), UK 2nd (94.12%), France 3rd (93.12%).
- **Human Development Report 2023-24** (UNDP, 13 March 2024) — India 134th/193 (score 0.644); Switzerland top.
- **Global Corruption Perception Index 2024** (Transparency International, 11 Feb 2025) — India 96th/180 (score 38); Denmark top (90); most corrupt: South Sudan (180), Somalia (179), Venezuela (178).
- **Economic Freedom of the World 2025** (Fraser Institute) — 176 jurisdictions on 5 areas (Size of Govt, Legal System/Property Rights, Sound Money, Freedom to Trade Internationally, Regulation); India 128th; top 3 — Singapore, Switzerland, Ireland; bottom 3 — Venezuela, Cuba, N. Korea.
- **Global Peace Index 2024** (IEP, 18th edition, 163 countries) — India 116th (score 2.319); top — Iceland, Ireland, Austria, New Zealand, Singapore; bottom — Yemen (163rd), Sudan, South Sudan, Afghanistan, Ukraine.
- **WEF Global Gender Gap Index 2024** (June 2024, Geneva; 4 parameters — economic participation, education, health, political empowerment) — top: Iceland, Finland, Norway, New Zealand, Sweden; India 129th/146 (was 87th in 2016 — widening gap since 2020); worst 5: Sudan (146), Pakistan (145), Chad (144), Iran (143), Guinea (142).
- **World Happiness Report 2025** (Gallup/Oxford Wellbeing Research Centre/UN SDSN) — Finland 1st again; top 5: Finland, Denmark, Iceland, Sweden, Netherlands; bottom 5: Zimbabwe, Malawi, Lebanon, Sierra Leone, Afghanistan (147th); India 118th/147.
- **Global Innovation Index 2024** (WIPO, 133 economies) — India 39th (score 38.3), up from 81st (2015); India held 1st in its region in 2022.
- **Global Hunger Index 2024** — India 105th/127 (score 27.3), alongside Uganda at the same hunger level.

Top 10 Economies in the World — 2025 (Forbes India, 28 April 2025)

Rank	Country	GDP (USD)	2025 Real GDP Growth (Proj.)	GDP Per Capita (USD)
1	United States	\$30.51 trillion	1.8%	\$89.11 thousand
2	China	\$19.23 trillion	4.0%	\$13.69 thousand
3	Germany	\$4.74 trillion	-0.1%	\$55.91 thousand
4	India	\$4.19 trillion	6.2%	\$2.88 thousand
5	Japan	\$4.19 trillion	0.6%	\$33.96 thousand
6	United Kingdom	\$3.83 trillion	1.1%	\$54.95 thousand
7	France	\$3.21 trillion	0.6%	\$46.39 thousand
8	Italy	\$2.42 trillion	0.4%	\$41.09 thousand

9	Canada	\$2.23 trillion	1.4%	\$53.56 thousand
10	Brazil	\$2.13 trillion	2.0%	\$9.96 thousand

DOUBT This entire section (§9's index rankings and the Top-10-Economies table) is drawn from dated 2024-2025 reports and will not reflect the situation as of today (Sept 2026) — every figure, rank, and GDP value needs independent verification before use. Note also the raw extraction's own flag: Parmar Ch.3 elsewhere states India ranks 5th in nominal GDP / 3rd in PPP "as of 2026", which does not match this Forbes India (April 2025) table showing India 4th — an unreconciled cross-book discrepancy, both preserved verbatim.

Appendix

A.1 — PYQ citation index (bucket "11 Foreign Trade & International Institutions", 34 Qs)

Fact tested	Exam · Date · Shift
Current account surplus/deficit/balance definitions	SSC CPO Tier-I, 10/12/2025 (Sh-01)
1991 crisis: shortage of foreign exchange	SSC CGL Tier-I, 17/09/2025 (Sh-03) x2
India approached IMF+World Bank, 1991 (A-R)	SSC CGL Tier-I, 17/09/2025 (Sh-03)
IMF+World Bank triggered 1991 reforms	SSC CGL Tier-I, 20/09/2025 (Sh-02)
Currency conversion needed for US purchases	SSC CPO Tier-I, 09/12/2025 (Sh-01)
1991 measure: rupee devaluation	SSC CHSL Tier-I, 15/11/2025 (Sh-01)
Rupee current-account convertibility, Aug 1994	SSC CHSL Tier-I, 20/11/2025 (Sh-03)
1991 devaluation ~18-20%	SSC CHSL Tier-I, 29/11/2025 (Sh-02)
Low forex reserves = can't afford essential imports	SSC CHSL Tier-I, 30/11/2025 (Sh-03)
1991 reform trigger = BoP crisis	SSC Phase XIII, 02/08/2025 (Sh-01)
WTO promotes free/fair trade (A-R)	SSC CGL Tier-I, 24/09/2025 (Sh-03)
SAARC Currency Swap Framework 2024-27	SSC CGL Tier-I, 14/09/2025 (Sh-01)
BIMSTEC Tech Transfer Facility, 5th Summit	SSC CGL Tier-I, 17/09/2025 (Sh-02)
IMF promotes liberal economic reforms (SAP)	SSC CPO Tier-I, 11/12/2025 (Sh-02)
Non-tariff measures: anti-dumping + TBT	SSC CHSL Tier-I, 12/11/2025 (Sh-02)
1991 crisis cause (fiscal deficit, Gulf War, forex)	SSC CHSL Tier-I, 17/11/2025 (Sh-02)
IBRD = World Bank arm approached late-1980s crisis	SSC CHSL Tier-I, 13/11/2025 (Sh-03)
1947-90 trade policy = import substitution	SSC Stenographer, 07/08/2025 (Sh-03); 08/08/2025 (Sh-02)
Bilateral trade agreement goal = promote free trade	SSC Phase XIII, 29/07/2025 (Sh-02)
FII role = invest in Indian financial markets	SSC Phase XIII, 29/07/2025 (Sh-03)
Pre-1991 import characteristic = import substitution	SSC Stenographer, 08/08/2025 (Sh-02)
Tariff measures = export+import taxes	SSC CHSL Tier-I, 13/11/2025 (Sh-02)
Imports=leakage, Exports= injection (circular flow)	SSC CGL Tier-I, 24/09/2025 (Sh-03)
Devaluation improved export competitiveness (A-R)	SSC CPO Tier-I, 09/12/2025 (Sh-01)
Pre-1991 trade policy = high tariffs/quotas	SSC CPO Tier-I, 09/12/2025 (Sh-02)
SAFTA Article 23 = Dispute Settlement (A-R)	SSC CGL Tier-I, 19/09/2025 (Sh-03)
Kaladan Project links India-Myanmar	SSC CGL Tier-I, 18/09/2025 (Sh-03)
MEIS launched 2015	SSC CHSL Tier-I, 20/11/2025 (Sh-01)
First EPZ = Kandla, 1965	SSC CPO Tier-I, 09/12/2025 (Sh-01)
FIPB constituted under PMO	SSC CHSL Tier-I, 30/11/2025 (Sh-02)
EOU min. investment ₹1 crore	SSC CHSL Tier-I, 27/11/2025 (Sh-02)

A.2 — PYQ-book-only facts

SAARC Currency Swap Framework (2024-27) and the 2022 BIMSTEC/Kaladan specifics are current-affairs additions from the PYQ book's own explanations, not in the raw extraction, but consistent with (not contradicting) it — flagged transparently rather than force-fit as book-sourced.

A.3 — Doubts carried forward from the raw extraction

All poverty statistics, MPI/HDI figures, IMF voting-power rank/top-borrower list, every FDI/BoP/forex/trade figure in the Lucent §15 section (FY2023-24 and April-December 2024 data), the FDI-limits table's internally-conflicting date, every global-index ranking (2024-25 reports), and the Top-10-Economies table are all explicitly time-sensitive per the raw extraction's own flags and are not current as of today (Sept 2026) — none independently verified; treated as source-accurate-at-time-of-publication only.